

Chapter Review

1-6g Basic Exercises

BE 1-1

Cost Principle

Obj. 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

On June 25, Tin Roofing extended an offer of \$300,000 for land that had been priced for sale at \$375,000. On July 9, Tin Roofing accepted the seller's counteroffer of \$320,000. On October 1, the land was assessed at a value of \$400,000 for property tax purposes. On December 22, Tin Roofing was offered \$450,000 for the land by a national retail chain. At what value should the land be recorded in Tin Roofing's records?

BE 1-2

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

Inspiring U is a motivational consulting business. At the end of its accounting period, December 31, 20Y2, Inspiring U has assets of \$690,000 and liabilities of \$375,000. Using the accounting equation, determine the following amounts:

- Stockholders' equity as of December 31, 20Y2.
- Stockholders' equity as of December 31, 20Y3, assuming that assets increased by \$80,000 and liabilities increased by \$51,500 during 20Y3.

BE 1-3

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Speedy Delivery Service is owned and operated by Kris Meyers. The following selected transactions were completed by Speedy Delivery during March:

1. Received cash in exchange for common stock, \$30,000.
2. Paid advertising expense, \$3,500.
3. Purchased supplies on account, \$2,500.
4. Billed customers for delivery services on account, \$18,750.
5. Received cash from customers on account, \$14,150.

Indicate the effect of each transaction on the following accounting equation elements: Assets, Liabilities, Common Stock, Dividends, Revenue, and Expense. To illustrate, the answer to (1) follows:

(1) Asset (Cash) increases by \$30,000; Common Stock increases by \$30,000.

BE 1-4

Income Statement

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The revenues and expenses of A-One Travel Service for the year ended August 31, 20Y6, follow:

Fees earned	\$1,150,000
Office expense	150,000
Miscellaneous expense	45,000
Wages expense	640,000

Prepare an income statement for the year ended August 31, 20Y6.

BE 1-5

Statement of Stockholders' Equity

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the income statement for A-One Travel Service from [Basic Exercise 1-4](#), prepare a statement of stockholders' equity for the year ended August 31, 20Y6. Kate Duffner invested an additional \$15,000 in the business in exchange for common stock, and \$50,000 of dividends were paid during the year. Common stock had a balance of \$60,000 and retained earnings had a balance of \$775,000 as of September 1, 20Y5.

BE 1-6

Balance Sheet

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the following data for A-One Travel Service as well as the statement of stockholders' equity from [Basic Exercise 1-5](#), prepare a balance sheet as of August 31, 20Y6:

Accounts payable	\$ 35,000
Accounts receivable	68,000
Cash	184,500
Common stock	75,000
Land	880,000
Supplies	17,500

BE 1-7

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

A summary of cash flows for A-One Travel Service for the year ended August 31, 20Y6, follows:

Cash receipts:

Cash received from customers	\$1,125,000
Cash received from issuing common stock	15,000

Cash payments:

Cash paid for operating expenses	815,000
Cash paid for land	150,000
Cash paid as dividends	50,000

The cash balance as of September 1, 20Y5, was \$59,500.

Prepare a statement of cash flows for A-One Travel Service for the year ended August 31, 20Y6.

BE 1-8

Ratio of Liabilities to Stockholders' Equity

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The following data were taken from Alvarado Company's balance sheet:

	Dec. 31, 20Y4	Dec. 31, 20Y3
Total liabilities	\$4,085,000	\$2,880,000

Total stockholders' equity	4,300,000	3,600,000
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- a. Compute the ratio of liabilities to stockholders' equity for each year.
- b. Has the creditor's risk increased or decreased from December 31, 20Y3, to December 31, 20Y4?

Chapter 1: Introduction to Accounting and Business: 1-6g Basic Exercises

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